**IN THE NATIONAL COMPANY LAW TRIBUNAL**

**BENGALURU BENCH**

C.P (CAA) No. 69/BB/2017
C.P (CAA) No. 70/BB/2017
U/S 230 to 232 of the Companies Act, 2013
**Order Delivered on: 7th December, 2018**

**IN THE MATTER OF THE SCHEME OF AMALGAMATION**

**OF**

**REDPRAIRE TECHNOLOGIES INDIA PRIVATE LIMITED**
**WITH**
**JDA SOFTWARE PRIVATE LIMITED**
**AND**
**THEIR RESPECTIVE SHAREHOLDERS**

Coram: 1. Hon'ble Shri Rajeswara Rao Vittanala, Member (Judicial)

2. Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

**C.P (CAA) No. 69/BB/2017**

**RedPrairie Technologies India Private Limited**
No. 63, Serpentine Road,
KP West,
Bangalore-560 020

**Petitioner No. 1/Transferor Company**

**C.P (CAA) No. 70/BB/2017**

**JDA Software Private Limited**
Tower A, Mantri Commercio,
Devarabeesanahalli
Outer Ring Road, Varthur Hobli
Bangalore-560 103

**Petitioner No. 2/Transferee Company**

**Parties Present:** Shri Shreyas A, Learned Counsel for the Petitioners
Ms. Prema Hatti, Learned Standing Counsel for the RoC

Per: **Hon'ble Shri Ashok Kumar Mishra, Member (Technical)**

## COMMON O R D E R

1. The Company Petitions bearing number C.P (CAA) No. 69/BB/2017 and C.P (CAA) No. 70/BB/2017 were filed jointly by Petitioner No. 1/Transferor Company & Petitioner No. 2/Transferee Company under Section 230 to 232 of the Companies Act, 2013 praying for inter alia the following reliefs:

   (i) That this Hon'ble Tribunal sanction the proposed scheme so as to be binding on the Transferee Company, the Transferor Company and their respective shareholders and all other persons.

   (ii) This Hon'ble Tribunal may pass such further and other orders as may be deemed necessary.

2. The averments made in the Company Petition are briefly described hereunder:-

   1) The Petitioner Companies seeks an order for sanctioning the Scheme so as to be binding in terms thereof on the Petitioners Companies and their respective shareholders, by virtue of which the entire undertaking and business of Petitioner No. 1/Transferor Company is proposed to be transferred and vested into the Petitioner No.2/Transferee Company. The Scheme of Amalgamation is shown as **Annexure -A**.

   2) The Petitioner No. 1/Transferor Company was incorporated on 3rd March, 2004 as per the provisions of the Companies Act, 1956 under the name and style of "Storeperform Technologies India Private Limited" with Registrar of Companies, Karnataka. The name of the Petitioner No. 1/Transferor Company was changed to "RedPrairie Technologies India Private Limited" on 5th May, 2008 bearing CIN no. U72900KA2004PTC033495. The registered office of the Petitioner No. 1/Transferor Company is situated at No. 63, Serpentine Road, KP West, Bangalore-560 020.

3) The main objects of the Petitioner No. 1/Transferor Company as set out in its Memorandum of Association is inter alia to carry on the business of producing, making, designing, developing, sponsoring, distributing, delivering, supporting, buying, selling, importing, exporting, leasing, hiring, duplication, copying and otherwise dealing in all kinds and types of activities relating to enterprise test delivery and support store performance management software and hardware products for business, including multi-location companies and retail chains. The copies of the MoA and AoA of the Petitioner No. 1/Transferor Company is shown as Annexure C & D in CP (CAA) 69/BB/2017.

4) The latest authorised share capital of the Petitioner No. 1/Transferor Company is Rs. 1,75,00,000/- divided into 17,50,000 shares of Rs. 10/- each. The issued, subscribed and paid-up share capital is Rs. 1,46,61,000/- divided into 14,66,100 Equity Shares of Rs. 10/- each. The Copy of Audited Financials of the Petitioner No. 1/Transferor Company as on 31st March, 2016 and 31st March, 2017 is shown as Annexure E in CP (CAA) 69/BB/2018 and in memo dated 27th October, 2017 respectively.

5) The Petitioner No. 2/ Transferee Company was incorporated 22nd September, 1989 as per the provisions of the Companies Act, 1956 in the name and style of "Think Systems Private Limited" in the State of Maharashtra. Subsequently, the name of the Petitioner No. 2/ Transferee Company was changed to "i2 Technologies India Private Limited" on 11th January, 1999 and then registered office was shifted from State of Maharashtra to State of Karnataka on 29th August, 2003. Pursuant to the global merger of the holding companies i.e. JDA Software Group Inc. US, with i2 Technologies Inc. US, both JDA Software India Private Limited, and i2 Technologies India Private Limited underwent a court-approved scheme of amalgamation. The merger scheme was approved by the High Court of Judicature at Andhra Pradesh and Karnataka and orders were passed accordingly. In light of this amalgamation, considering the brand name of JDA Software India Private Limited, the management of i2 Technologies India Private Limited decided to change the name of the company to "JDA Software Private Limited"

and the same was approved by the Registrar of Companies on 18th September, 2013. The Registered office of the Petitioner No. 2/ Transferee Company is situated at # Tower A, Mantri Commercio, Devarabeesanahalli, Outer Ring Road, Varthur Hobli, Bangalore-560 103.

6) The main objects of the Petitioner No. 2/Transferee Company as set out in its Memorandum of Association is inter alia to carry on in India or elsewhere the business of imparting education and training in computer hardware and software, providing complete computer based solutions, consultancy in computer based information systems, selection of hardware and software, marketing of software products, design, develop and implement software solutions, placement of personnel and to carry on the business of manufacturing and marketing computer hardware, peripherals, accessories and related supplies, trading in computer hardware, peripherals and accessories, software and other related activities. The copies of the MoA and AoA of the Petitioner No. 2/Transferee Company is shown as Annexure C & D series in CP (CAA) 70/BB/2017.

7) The latest authorised share capital of the Petitioner No. 2/Transferee Company is Rs. 82,50,000/- divided into 82,500 shares of Rs. 100/- each. The issued, subscribed and paid-up share capital is Rs. 20,42,000/- divided into 20,420 Equity Shares of Rs. 100/- each. The Copy of Audited Financials of the Petitioner No. 1/Transferor Company as on 31st March, 2016 and 31st March, 2017 is shown as Annexure E in CP (CAA) 70/BB/2017 and in memo dated 27th October, 2017 respectively.

8) The Board of Directors of the Petitioner No. 1/Transferor Company and Petitioner No. 2/Transferee Company have approved and adopted the Scheme of Amalgamation at its respective meetings held on 13th December, 2016 respectively. The copies of Board Resolution of the Petitioner No. 1/Transferor Company and Petitioner No. 2/Transferee Company are shown in Annexure-L and Annexure-G of CP (CAA) 69/BB/2017 and CP (CAA) 70/BB/2017 respectively.

9) The Chartered Accountants, Varma & Varma, the Statutory Auditor of the Petitioner Companies have issued a certificate dated 12th September, 2017 certifying the accounting treatment provided for in the scheme is in conformity with the accounting standard specified under Section 133 of the Act. The copy of certificate dated 12th September, 2017 is shown in memos dated 27th October, 2017 in CP (CAA) 69/BB/2017 and CP (CAA) 70/BB/2017.

10) The Petitioner Companies had filed the Company Applications C.A. (CAA) No. 51/BB/2017 and C.A. (CAA) No. 52/BB/2017 before this Tribunal for dispensation with convening of the meetings of the Shareholders, Secured and Unsecured Creditors of the Petitioner Companies. The Tribunal vide its Orders dated 17th August, 2017 allowed the Company Application and dispensed with the convening of the meetings of Shareholders, Secured and Unsecured Creditors of the Petitioner Companies. The copies of the orders of the Tribunal is shown in Annexure-N of CP (CAA) 69/BB/2017 and CP (CAA) 70/BB/2017.

3. This Tribunal vide order dated 6th November, 2017 directed the Petitioner Companies to issue Notice to the RoC, RD, concerned Income Tax Authorities , RBI and Official Liquidator, and also to have an advertisement of Notice of Petition be carried out in the 'The Hindu', an English daily Newspaper and 'Kannada Prabha' a Kannada daily Newspaper.
4. In pursuant to the same the Counsel for the Petitioner Companies has filed memo dated **16th January, 2018** of the authorized signatory of the Petitioner Companies for having taken paper publication as directed and also has furnished the copy of the paper publication for having taken Advertisement in 'The Hindu', an English daily Newspaper and 'Kannada Prabha' a Kannada daily Newspaper and submitted proof of service of notice on the concerned authorities vide memos dated 4th December, 2017.
5. The Registrar of Companies, Karnataka vide Letter bearing No. ROCB/LEGAL/U/s230-232/CP No. 69&70/BB/17 dated 5th March, 2018 has submitted a report making the following observations at *para 30*:

1. There are no prosecutions, complaints, technical scrutiny/inspection pending on the Petitioner Companies.
2. Transferee Company has not filed Annual return and Balance Sheet for the year 2016-17.
3. As per the NCLT Order No. CA (CAA) No. 51/BB/2017 dated 17.08.2017, the transferee company does not have secured creditors as on 21.02.2017, hence meetings of the secured creditors were not called for. However after verifying the MCA21 portal it is found that the transferee company created a charge on 30.06.2015 and the status of the same is open as on 02.03.2018.
4. As per the Master Data of the Transferee Company the paid up capital of the transferee company as on 2.03.2018 is Rs. 22,67,000/-, however in the Scheme at S. No. 2.2, the paid up capital of the transferee company after issuance of bonus shares and buy back of shares is shown as Rs. 20,42,000/-

6. The Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by Registrar of Companies has filed Affidavit dated 2nd April, 2018 making some observations at para 3:
    a. The Transferee Company, has filed Balance Sheet as at 31.03.2017 and Annual Return for the year 2017 is yet to be filed.
    b. The appointed date proposed in the scheme is 1.04.2016.
    c. Clause 5 of the Scheme provides for protection of employees of the Transferor Company.
    d. Both the Transferor and Transferee Companies are being controlled by a common holding company M/s. JDA Software Inc., USA.
    e. Clause 9 of the scheme provides that in consideration of Scheme of Amalgamation, the Transferee Company will issue 1 equity share of Rs. 100/- each for every 3174 equity shares of Rs. 10/- each held in the Transferor Company. This swap ratio is justified by valuation report dated 17.10.2016 issued by M/s DSKP & Company, Chartered Accountants, Bangalore.
    f. In Clause 10.1 of the scheme, the Petitioner Transferee Company has sought complete waiver of the fee and stamp duty payable on account of consolidation of

the authorised share capital of the transferor and transferee company which is not acceptable in view of the provisions of Sec. 232 (3)(i) of the Companies Act, 2013. The Transferee Company has to pay the differential fee and stamp duty on the increase of authorized capital after setting off the fee if any paid by the transferor company.

g. As per the Balance Sheet as at 31.3.2017, it is noticed that 99.99% equity share capital of transferor company is held by M/s. JDA Software Inc, USA which is a foreign company and hence any consideration to the shareholders of the transferor company has to be in compliance with FEMA.

7. The Authorized Signatories of the Petitioner Company has filed Affidavit dated 3rd August, 2018 in furnishing response to the affidavit of the Registrar of Companies on behalf of the Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad, which are as follows:

i. *For Observation No. (a) of the RoC affidavit*: The Company has filed the Balance Sheet as at 31st March, 2017 and also the Annual Return for the year 2017. A copy of the Balance Sheet and Profit and Loss Account as at 31st March 2017 and the payment receipt for having filed the annual returns are furnished as Annexure A & B.

ii. *For Observation No. (f) of the RoC affidavit*: Transferee Company herein undertakes to pay differential fee and Stamp Duty on the increase of the Authorized Share Capital after considering the fee paid by the Transferor Company in accordance with Section 232(3)(i) of the Companies Act, 2013.

iii. *For Observation No. (g) of the RoC report*: The Petitioner Company undertakes to comply with the requisite provisions of Foreign Exchange Management Act, 1999.

8. Further, on the prayer made by the Official Liquidator in **OLR no. 27/2018** in CP (CAA) 70/BB/2017, pursuant to order of the Tribunal dated 26th March, 2018, Rao & Emmar., Chartered Accountants was appointed to scrutinise the books of accounts and records of Petitioner No. 1/Transferor Company. Upon examination of the Books of Accounts and Records of the Petitioner/Transferor Company, Rao & Emmar., Chartered Accountants submitted the report on 10th April, 2018 stating that:

i.) We have obtained all the information and explanation, which to the best our knowledge and belief were necessary for the purpose of scrutiny of books and papers of Transferor Companies.

ii.) We are of the opinion that the Company has maintained proper books of accounts, papers, statutory registers, minutes and other records as required by the Companies Act, 2013.

iii.) We are of the opinion that the business has not been carried on with intent to defraud the creditors or any other person or for any fraudulent purpose attracting the penal provisions of Section 339 of Companies Act, 2013.

iv.) Neither has any person or officer or director of the Company misapplied or diverted or retained or became liable or accountable for any money or property of the Company or has been found guilty of any misappropriation, breach of trust in relation to the Company under Section 340 of the Companies Act, 2013.

v.) Subject to observations made in the reports, we are of the opinion that the affairs of RedPrairie Technologies India Private Limited (Transferor Company) have been conducted in a manner not prejudicial to the interests of its members, creditors and public in general.

9. After hearing the Counsel for the Petitioner Companies, perusing the reports of the Regional Director and Registrar of Companies and considering the materials on record the Scheme appears to be fair, reasonable and is not detrimental against the Members or Creditors or contrary to public policy and the same can be approved.

**THIS TRIBUNAL DO ORDER**

(1) While approving the Scheme, we make clear that this order should not be construed as an order in any way granting exemption from payment of Stamp Duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specially required under any law; and

(2) The Whole of the property, rights and powers of the Petitioner No. 1/Transferor Company be transferred without further act or deed to Petitioner No. 2/Transferee Company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013, be transferred to and vest in the Petitioner No. 2/Transferee Company for all the state and interest of the Petitioner No. 1/Transferor Company therein but subject nevertheless to all charges now affecting the same; and

(3) All liabilities including taxes and charges, if any and duties of the Petitioner No. 1/Transferor Company be transferred without further act or deed to Petitioner No. 2/Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Petitioner No. 2/Transferee Company; and

(4) All proceedings now pending by or against the Petitioner No. 1/Transferor Company, if any, be continued by or against the Petitioner No. 2/Transferee Company; and

(5) All employees of the Petitioner No. 1/Transferor Company will become employees of the Petitioner No. 2/Transferee Company without any break or interruption of service; and

(6) This order does not in any way give exemption under Income Tax Act, 1961. The Income Tax Authorities are to decide the issue considering the extant provisions of law as they deem fit and proper. The tax implications, if any arising out of the scheme is subject to final decision of concerned Tax Authorities and the decision of the respective Tax Authority shall be binding; and

(7) The Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order along with a copy of scheme of Arrangement to be delivered to the Registrar of Companies for registration in accordance with Rule 25 (7) of Companies (Compromises, Arrangements And Amalgamations) Rules, 2016; and

(8) The Petitioner Companies to ensure that the stamp duty as fixed by the Inspector General of Registration and Commissioner of Stamps is paid within stipulated time under relevant provisions of law.

(9) The Appointed Date of the Scheme shall be 1st April, 2016; and

(10) The Petitioner Companies and its authorised representatives are directed to comply with following prior to the implementation of the Scheme:

(i) Ensure that the Transferee Company makes the requisite payment of differential fee and stamp duty on the increase of authorised capital in accordance with law.

(ii) Ensure that the Petitioner Companies comply with foreign exchange management laws including Foreign Exchange Management Act, 1991, legislations, rules, regulations, notifications and circulars issued by Reserve Bank of India and Department of Industrial Promotion and Policy and obtain all necessary permissions and approvals as may be required, in connection with the Scheme and its implementation.

(iii) Ensure that the Transferee Company files Annual returns and Balance Sheets for the financial years 2016-17 and 2017-2018 and such other outstanding statutory filings under the Companies Act, 2013 and allied rules.

(iv) Transferee Company is directed to satisfy the charge created on 30.06.2015 as reflected in MCA21 portal as 'open'.

(v) Ensure that there are no discrepancies in the paid up capital amount of the Transferee Company as reflected in the Master Data and as entailed in the Scheme. The Transferee Company must ensure that the issue is rectified by the concerned auditors.

(11) The Registrar of Companies, Karnataka is to ensure that the Petitioner Companies comply with their affidavits dated 3rd August, 2018 prior to the implementation of the Scheme.

(12) The Petitioner Companies shall until the completion of the Scheme, file a statement as prescribed by the Registrar of Companies every year duly certified by a chartered accountant or a cost accountant or a company secretary in practice indicating whether the scheme has been complied with in accordance with this order for the purpose of Section 232(7) of Companies Act, 2013 and Rule 21 of Companies (Compromises, Arrangements and Amalgamations) Rules, 2016; and

(13) Petitioner No. 1/Transferor Company or their authorised signatories are directed that after the completion of the process of amalgamation to handover the possession of the books of accounts and other relevant documents to Petitioner No. 2/Transferee Company for the purpose of Section 239 the Companies Act, 2013; and

(14) Any person shall be at the liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

**ASHOK KUMAR MISHRA**
**(MEMBER, TECHNICAL)**

**RAJESWARA RAO VITTANALA**
**(MEMBER, JUDICIAL)**

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